

Year	Overreporting 1983	Overreporting, year	Mean 1983	τ_P	Mean year	τ_P ,	Elasticity	95% set
1984	2.7%	5.6%	8.2%		9.3%		5.1	[2.2, 10.4]
1985	2.7%	7.4%	8.2%		10.2%		4.1	[2.4, 6.9]
1986	2.7%	9.4%	8.2%		10.2%		5.0	[3.3, 7.5]
1987	2.7%	11.3%	8.2%		10.0%		5.9	[4.2, 8.5]
1988	2.7%	11.7%	8.2%		9.8%		6.6	[4.7, 9.5]

Midpoint elasticity of overreporting, as a share of true materials, with respect to the sales tax rate on purchases τ_P , 1983 to each year: the change in overreporting over its midpoint, divided by the change in τ_P over its midpoint. Unincorporated firms in sales-tax-liable industries. The 95% set collects the elasticities that a χ^2_1 test does not reject at 5%, taking the corporations' mean log share by industry, the overreporting levels and the mean rates as the truth; variance clustered by plant. Overreporting cannot be negative, which caps the elasticity at 9.8 in 1987.